For another check, convert the target distance into a percentage of the current price. In this example that's 4.45/28 or 16%. Table 33.3 says that 58% of the stock will fail to see price drop more than 15%. That means 42% will work as you hope, and that's not a good probability in my opinion.

Wait for breakout. Since 60% of twin-peak patterns never confirm (price trends higher), you should wait for the breakout before selling a long holding or shorting a stock. The exception to this rule is if you have a compelling situation that demands a quick exit.

For example, if price just completed the turn at the second top and the company issues an earnings warning, sending the stock tumbling, then consider selling immediately. Chances are that the next quarter will also be bad (but this depends on why earnings are soft; some problems are easily fixed while others are not).

Trade with market trend. Eve & Eve double tops are bearish chart patterns, so it makes sense to trade them in bear markets, not in bull markets. If you own stock in a bull market and it double tops, can you weather the downturn? If the general market is soft when your stock double tops, maybe it is time to sell. Me? I ignore double tops because the decline is usually not severe enough to be worth paying capital gains taxes to the government. That's often the case in a raging bull market. You'll see a double top that will take price down, but not far, only to see the stock recover quickly and soar to new highs. But it's your money and selling near the top is better than selling near the bottom.

Check others in the industry. If other stocks in the same industry are hurting along with yours, then sell your stock or consider shorting. This advice is especially useful if the general market is tumbling, too.

Wait for trend change. With such a large price rise after the ultimate low (or from a busted pattern), consider buying then. The Sample Trade gives an example.

Stop location. Table 33.7 shows various stop locations for double tops. Be sure to convert the potential loss into a percentage of the current price. If the value is too large (many use 8% as a maximum loss value), then either adjust the stop or abandon the trade.